Term Sheet — Syndicated Credit Facility

Document Title: Term Sheet — EUR 150,000,000 Syndicated Term Loan and Revolving Credit Facility
Reference: TS-IBK-CORP-2024-0077
Date: 12 January 2024
Version: Final — Accepted by Borrower
Confidentiality: Strictly Confidential

PARTIES

Role	Party
Mandated Lead Arranger & Bookrunner	IBK Bank AG, Corporate & Institutional Banking Division
Facility Agent	IBK Bank AG
Security Agent	IBK Bank AG
Borrower	Meridian Industrials GmbH, Industriestrasse 88, 40472 Düsseldorf, Germany
Guarantors	Meridian Industrials Holding AG (parent); Meridian Manufacturing GmbH (operating subsidiary)

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1. FACILITY STRUCTURE

Tranche	Ty	Amount	Te	Purpose
Tranche A	Term Loan (Amortising)	EUR 100,000,000	5 years	Refinancing of existing debt

Tranche B	Revolving Credit Facility (RCF)	EUR 50,000,000	5 years	General corporate purposes
Total		EUR 150,000,000		

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2. KEY ECONOMIC TERMS

Term	Value
Reference Rate	Euribor 3M (floored at 0%)
Margin – Tranche A	175 bps p.a. (subject to leverage ratchet — see §5)
Margin – Tranche B	190 bps p.a.
Upfront Fee	75 bps on total commitments (payable on signing)
Commitment Fee (Undrawn RCF)	35% of applicable margin
Agency Fee	EUR 30,000 per annum
Currency	EUR

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3. REPAYMENT — TRANCHE A

Period	Repayment Instalment
Year 1	EUR 5,000,000
Year 2	EUR 10,000,000
Year 3	EUR 15,000,000

Year 4	EUR 20,000,000
Year 5 (Bullet)	EUR 50,000,000

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4. SECURITY PACKAGE

- First-ranking pledge over shares of Meridian Industrials GmbH and Meridian Manufacturing GmbH.
- First-ranking fixed and floating charge over all assets of the Borrower.
- First-ranking assignment of material contracts and insurance policies.
- Guarantee from Meridian Industrials Holding AG (EUR 150m, unconditional and irrevocable).

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5. FINANCIAL COVENANTS (tested semi-annually)

Covenant	Threshold
Net Leverage Ratio (Net Debt / Adjusted EBITDA)	≤ 3.50x (stepping down to 3.00x from Year 3)
Interest Cover Ratio (Adjusted EBITDA / Net Finance Charges)	≥ 4.00x
Minimum Liquidity	EUR 10,000,000 at all times

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6. CONDITIONS PRECEDENT

1. Satisfactory completion of legal, financial, and tax due diligence.
2. Delivery of audited financial statements for FY2022 and FY2023.
3. Receipt of all necessary corporate authorisations (board resolutions, shareholder approvals).
4. Satisfactory KYC / AML / EDD on all obligors.
5. No Material Adverse Change.

ACCEPTANCE

By countersigning below, the Borrower acknowledges that this Term Sheet does not constitute a binding commitment by IBK Bank AG. A binding commitment is subject to, inter alia, satisfactory completion of due diligence and credit committee approval.

Role	Name	Date
Authorised Signatory (IBK Bank AG)	Dr Klaus Werner, Head of Corporate Lending	12 January 2024
Authorised Signatory (Borrower)	Stefan Braun, CFO, Meridian Industrials GmbH	15 January 2024

> ☐☐ SPECIMEN DOCUMENT — FOR DEMONSTRATION PURPOSES ONLY

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